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22CB002 - BUSINESS STRATEGY

Department: Computer Science and Engineering
Batch/Year: 2023–2027/ VII Year CSE
Prepared by:
Dr. S SRINIVASAN, Professor / CSE,
Msr.G.MANISHA, Assistant Professor / CSE
Date: 01.07.2026

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1. Course Objectives

The Course will enable learners to:

- Determine the concept and process of strategic management.
- Analyze the internal and external environment.
- Formulation of strategies, implementation and evaluation of strategies
- Case studies and latest business events to understand business strategies

2. Pre – Requisites

1. Basic understanding of management principles, business environment, and analytical thinking skills.

22CB002	BUSINESS STRATEGY	L	T	P	C
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OBJECTIVES:

The Course will enable learners to:

- **Determinethe conceptand process of strategicmanagement.**
- **Analyzethe internal and externalenvironment.**
- **Formulation of strategies,implementation and evaluation of strategies.**
- **The course will cover case studies and latest business events.**

UNIT I	INTRODUCTION TO STRATEGIC MANAGEMENT	9

Importance of Strategic Management - Vision and Objectives - Schools of thought in Strategic Management - Strategy Content, Process, and Practice - Fit Concept and Configuration Perspectivein StrategicManagement

UNIT II	INTERNAL ENVIRONMENT OF FIRM- RECOGNIZING A FIRM'S INTELLECTUAL ASSETS	9

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UNIT III	EXTERNAL ENVIRONMENTS OF FIRM- COMPETITIVE STRATEGY	9

Five Forces of Industry Attractiveness that Shape Strategy - The concept of Strategic Groups, and Industry Life Cycle - Generic Strategies - Generic Strategies and the Value Chain

UNIT IV	CORPORATE STRATEGY, AND GROWTH STRATEGIES	9

The Motive for Diversification - Related and Unrelated Diversification - Business Portfolio Analysis - Expansion, Integration and Diversification - Strategic Alliances, Joint Ventures, and Mergers & Acquisitions.

UNIT V	STRATEGY IMPLEMENTATION:STRUCTURE AND SYSTEMS	9

The 7S Framework - Strategic Control and Corporate Governance

TOTAL: 45 PERIODS

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4. Course outcomes

Upon completion of the course, the students will be able to:

CO1: Become familiar with both internal and external environment.They would also become familiar with corporate and growth strategies, appreciate implementation of such strategies

CO2: Learn the fundamental concepts of strategic management to analyse business situations and apply these concepts to solve business problems.

CO3: Understand the fundamental principles of and interrelationships among business functions such as: R&D,production, marketing, finance, and HR and information technology.

CO4: Apply the inter-relationships of business to individuals, otherorganizations, government and society.

CO5: Analyze complex, unstructured qualitative and quantitative problems, using appropriate tools.

5. CO- PO/PSO Mapping

Course Out Comes	Level of CO	Program Outcomes												Program Specific Outcomes		
		PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11	PO12	PSO1	PSO2	PSO3
CO.1	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.2	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.3	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	2
CO.4	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.5	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1

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6. LECTURE PLAN

S.No.	Topics to be covered	No. of periods	Proposed date	Actual lecture date	CO	Taxonomy level	Mode of delivery
1	Introduction Environmental scanning	1			1	K2	PPT
2	SWOT Analysis	1			1	K2	PPT
3	Internal Analysis	1			1	K3	PPT
4	Competitive Advantage	1			1	K4	PPT
5	Core Competence	1			1	K4	PPT
6	RBV	1			1	K4	PPT
7	Value Chain Analysis	1				K3	PPT
8	Case Analysis	2				K4	Discussion

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7. Activity based learning

1. Case Analysis – Café Coffee Day – Rise, Fall and Rise
2. Case Analysis – Story of Air Deccan – Challenges, SWOT analysis

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Unit 2 - INTERNAL ENVIRONMENT OF FIRM- RECOGNIZING A FIRM'S INTELLECTUAL ASSETS

Core Competence as the Root of Competitive Advantage - Sources of Sustained Competitive Advantage - Business Processes and Capabilities- based Approach to Strategy

8. Lecture Notes

The Case of Coffee Day

A powerful brand can provide a sustainable competitive advantage to the company. It takes a lot of effort and investment to build a powerful brand, and Coffee Day is a good example. Its powerful brand equity helped it to overcome some disruption due to an IT raid in September 2017. It also has successfully warded off competition from other entrants and players – Barista, Starbucks, and Costa Coffee.

If a company can sustain its low-cost advantage, it can extend its competitive advantage as long as it has that advantage.

Competitive Advantages of Coffee Day

Coffee Day is an excellent example of its cost of making coffee, it is the lowest in the market. Its low-cost advantage comes from a business that is fully integrated into the back end and front end. It owns its plantations, curing works, roasting plants, research labs, and cafes.

A low-cost advantage gives the company tremendous pricing power. It is a truism that cost is a fact and price is a strategy. Thus, with a low-cost advantage, a firm can use the marketing mix's price element judiciously to derive maximum profits for the firm without losing out on customers. This perhaps is one reason why Starbucks cannot easily break into Coffee Day's strongholds.

Over a period, a company acquires assets that can convert into strategic assets. In the case of Coffee Day, its plantations, curing works, and research labs have transformed into strategic assets giving it a distinct competitive advantage.

Another strategic asset is the quality of people working in Coffee Day. It has trained its people at its vocational training center set up in Chickmagalur, its manufacturing headquarters.

Porter's second type of competitive advantage is product differentiation. Coffee Day has distinct advantages in its continually changing menus in line with the seasonality and evolving preferences of its customers. While brand loyalty can do so much, product differentiation lends a more considerable competitive advantage. The

company has grown from starting as an Internet café to a style statement where youngsters love being at the café to spend time with their friends with a lot happening over a cup of coffee.

There are several ways in which one can maintain a competitive advantage.

- Look into the future and locate new markets to expand your business
- Create entry barriers so that competition finds it challenging to enter your market
- Continuously tweak the elements of the marketing mix to stay ahead of the competition. Launch new products, do aggressive pricing, stay on top of consumers' mind with appropriate advertising strategies, ensure your products and services are always available, listen to customers' feedback and act upon them

The moment Coffee Day fails to retain its competitive advantage, you can see a host of competitors entering the fray and carving a decent market share for themselves.

What Happened To India's Air Deccan?

The Indian aviation landscape is very different from what it was 20 years ago. As hard as it is to imagine, there was a time when only a handful of carriers monopolized the sector, and air connectivity to small towns was practically unheard of. All of that happened in living memory of most Indians. While IndiGo, SpiceJet and other LCCs have been lauded (and rightly so) for revolutionizing air travel in India, what happened to the airline that started it all – Air Deccan?

A US vacation gave birth to the idea

Capt. Gopinath, a retired Indian Army officer, founded Deccan Aviation, India's first private helicopter charter service, in 1997. As reported by the BBC, in 2000, when he was vacationing in Phoenix, US, air traffic at the local airport caught his attention. He found out that the airport handled 1,000 flights and 100,000 passengers a day. One US airport handling more than all 40 airports in India put together.

Close back then, the US saw 40,000 daily commercial flights; India operated 420. Most Indians still traveled by train and couldn't even dream of flying the handful of expensive domestic carriers. Gopinath thought that even if he captured a tiny fraction of the 500+ million Indians who took the trains, he could have a successful venture.

Air Deccan started operations in 2003 with six ATR turboprops. Photo: Sean d'Silva via Wikimedia Commons

At that time, carriers like Indian Airlines and Jet Airways were to India what American Airlines and United Airlines were to the US. But what was India's answer to the US' Southwest Airlines?

Air Deccan becomes India's first low-cost airline

In August 2003, Capt. Gopinath founded Air Deccan, starting with a fleet of six ATR turboprops. The carrier's first flight took off the next month, flying between Hyderabad and Vijayawada. It didn't take long for Air Deccan to spread roots in the country. The carrier saw a huge customer inflow by announcing "early bird" fares of just ₹1 for many of its flights.

By 2004, Air Deccan had made its intentions pretty clear by undercutting the competition. The carrier made headlines when it introduced "dyna fares" on flights between major metropolitan cities. When booked months in advance, some Air Deccan seats on the Delhi-Chennai route could be booked for as low as ₹500 plus taxes. A regular one-way fare

between the two cities was around ₹7,000 back then. For Indian flyers, this was unheard of. Air Deccan soon became the preferred airline for price-sensitive Indian flyers and connected many regional cities. Photo: Aeroprints.com via Wikimedia Commons

Air Deccan was the first major Indian carrier that truly connected tier-1 and -2 cities in India. Cities like Madurai, Belgaum, Gwalior were now within reach of air travelers without burning a deep hole in the pocket. By 2007, Air Deccan was deploying 45 airplanes a day on 380 flights to 67 airports.

The golden run comes to an end

Within a few years, other low-cost players had entered the fray, and fuel prices had risen sharply, and by 2007 Air Deccan couldn't maintain the lead it once had in the LCC market. It just so happened that another full-service Indian carrier Kingfisher Airlines was looking to expand into the international market. It did not have the mandatory five years of operational history required by the Indian authorities to fly overseas. Kingfisher saw a way out by acquiring Air Deccan to fulfill that requirement.

Knee-deep in losses, Gopinath agreed for Air Deccan to be acquired by Kingfisher. The carrier was first rebranded as Simplifly Deccan, and its fleet took on the livery of Kingfisher. By 2008, Simplifly Deccan merged with Kingfisher Airlines into a single corporate entity but maintained a separate brand as Kingfisher's low-cost sibling Kingfisher Red. According to ch-aviation, Kingfisher Red's fleet had the following aircraft:

1. A320-200: 25
2. ATR42-300: 7
3. ATR42-500: 10
4. ATR72-500: 11

Kingfisher Airlines Acquired Air Deccan and rebranded it as Simplifly Deccan and eventually Kingfisher Red. Photo: Sean D Silva via Wikimedia Commons

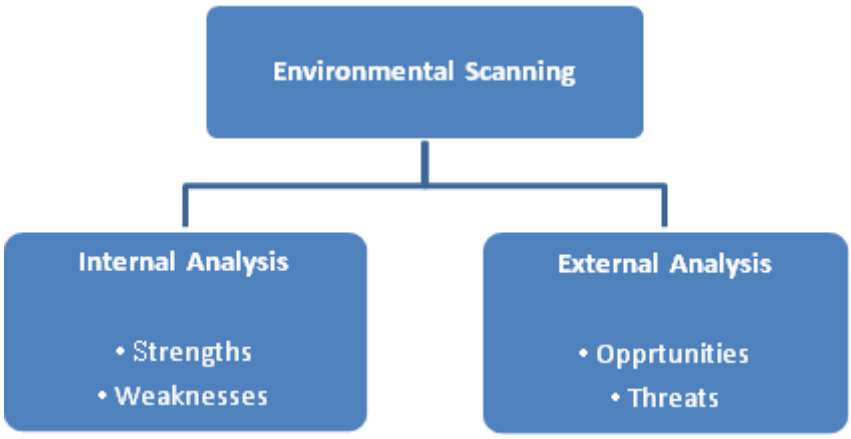
As the world would soon find out, the merger was a huge mistake. Kingfisher found it difficult to sustain both a full-service airline and its low-cost subsidiary. As covered by Simple Flying in detail, Kingfisher Airlines ceased operations in 2012 following massive losses.

Another attempt

Capt. Gopinath acquired the rights to the name Air Deccan again, and in 2017 started as a regional operator in western India. Air Deccan bagged 34 routes under the government's UDAN scheme that promotes regional connectivity in the country. However, as of 2020, following India's post-COVID shutdown, the airline has ceased operations indefinitely.

2.1 Introduction: SWOT analysis Framework

SWOT analysis is a technique for assessing the performance, competition, risk, and potential of a business, as well as part of a business such as a product line or division, an industry, or other entity.



Using internal and external data, the technique can guide businesses toward strategies more likely to be successful, and away from those in which they have been, or are likely to be, less successful. Analysts present a SWOT analysis as a square segmented into four quadrants, each dedicated to an element of SWOT. This visual arrangement provides a quick overview of the company's position.

Strengths: Strengths describe what an organization excels at and what separates it from the competition: a strong brand, loyal customer base, a strong balance sheet, unique technology, and so on.

Weaknesses: Weaknesses stop an organization from performing at its optimum level. They are areas where the business needs to improve to remain competitive: a weak brand, higher-than-average turnover, high levels of debt, an inadequate supply chain, or lack of capital.

Opportunities: Opportunities refer to favorable external factors that could give an organization a competitive advantage.

Threats: Threats refer to factors that have the potential to harm an organization. For example, a drought is a threat to a wheat-producing company, as it may destroy or reduce the crop yield. Other common threats include things like rising costs for materials, increasing competition, tight labor supply. and so on.

SWOT Table

Strengths	**Weaknesses**
1. What is our competitive advantage? 2. What resources do we have? 3. What products are performing well?	1. Where can we improve? 2. What products are underperforming? 3. Where are we lacking resources?
Threats 1. What new regulations threaten operations? 2. What do our competitors do well? 3. What consumer trends threaten business?	**Opportunities** 1. What technology can we use to improve operations? 2. Can we expand our core operations? 3. What new market segments can we explore?

SWOT Analysis for environmental scanning

Internal Analysis: What occurs within the company serves as a great source of information for the strengths and weaknesses categories of the SWOT analysis. Examples of internal factors include financial and human resources, tangible and intangible (brand name) assets, and operational efficiencies.

Potential questions to list internal factors are:

- (Strength) What are we doing well?
- (Strength) What is our strongest asset?
- (Weakness) What are our detractors?
- (Weakness) What are our lowest-performing product lines?

External Analysis: What happens outside of the company is equally as important to the success of a company as internal factors. External influences, such as monetary policies, market changes, and access to suppliers, are categories to pull from to create a list of opportunities and weaknesses.

Potential questions to list external factors are:

- (Opportunity) What trends are evident in the marketplace?
- (Opportunity) What demographics are we not targeting?
- (Threat) How many competitors exist, and what is their market share?
- (Threat) Are there new regulations that potentially could harm our operations or products?

2. Environmental Scanning - Internal & External Analysis of Environment

Organizational environment consists of both external and internal factors. Environment must be scanned so as to determine development and forecasts of factors that will influence organizational success. It helps the managers to decide the future path of the organization. Scanning must identify the threats and opportunities existing in the environment. During strategy formulation, an organization must take advantage of the opportunities and minimize the threats. **A threat for one organization may be an opportunity for another**.

Environmental scanning refers to possession and utilization of information about occasions, patterns, trends, and relationships within an organization's internal and external environment.

Internal analysis of the environment is the first step of environment scanning. This includes understanding the following:

- employee interaction with other employees,
- employee interaction with management,
- manager interaction with other managers,
- management interaction with shareholders,
- access to natural resources,
- brand awareness,
- organizational structure,
- main staff,
- operational potential, etc.

Also, discussions, interviews, and surveys can be used to assess the internal environment.

Analysis of internal environment helps in identifying strengths and weaknesses of an organization.

As business becomes more competitive, and there are rapid changes in the external environment, information from external environment adds crucial elements to the effectiveness of long-term plans. As environment is dynamic, it becomes essential to identify competitors' moves and actions. Organizations have also to update the core competencies and internal environment as per external environment.

Environmental factors are infinite, hence, organization should be agile and vigile to accept and adjust to the environmental changes. For instance - Monitoring might indicate that an original forecast of the prices of the raw materials that are involved in the product are no more credible, which could imply the requirement for more focused scanning, forecasting and analysis to create a more trustworthy prediction

about the input costs. In a similar manner, there can be changes in factors such as competitor's activities, technology, market tastes and preferences.

While in **external analysis**, three correlated environment should be studied and analyzed —

- immediate/industry environment
- national environment
- broader socio-economic environment/macro-environment

3. INTERNAL ANALYSIS

Internal analysis helps to understand the organizational capability which influence the evolution of successful strategies. Many of the issues of strategic development are concerned with changing strategic capability better to fit a changing environment.

- Stretching and exploiting the organizations capability to create opportunities, it again becomes important to understand these capabilities. This is called the Resource Based View (RBV) of strategy.
- A firm's overall strengths and weaknesses and its ability to execute are often found more important to its performance than environmental factors.
- Internal capabilities and process execution allow firms to gain competitive edge

over competitors even with relatively lesser resources and lesser advantageous position.

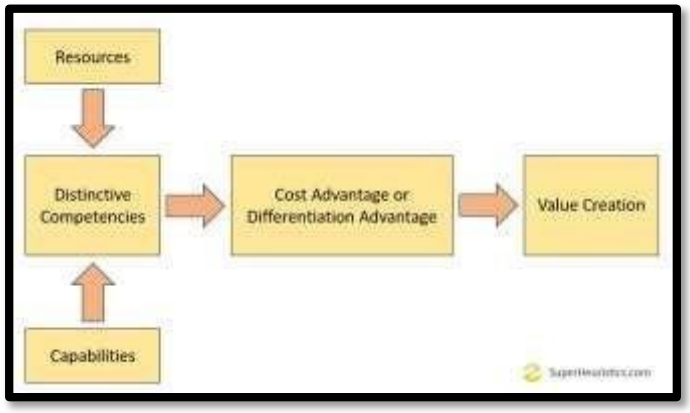
Two different methods are available for the internal environment assessment of a firm, viz. Resource based view and Value chain analysis.

Resource-Based View: This model examines any resources and/or capabilities of the firm that may provide a competitive advantage. The VRIO framework is used to evaluate each resource or capability to determine what type, if any, of competitive advantage it brings. If a resource or capability cannot be imitated by a competitor, then that resource may create a sustained competitive advantage. Patents or isolating mechanisms can reduce or eliminate temporarily the opportunity for a rival to imitate.

Value Chain Analysis: Each element of a firm's primary andsupportive activities are examined to see if it can provide a competitive advantage over its rivals. Weaknesses that are identified can be addressed to improve organizational performance.

2.3.1 Resource based View:

According to resource-based theory, organizations that own "strategic resources" have important competitive advantages over organizations that do not. Some resources, such as cash and trucks, are not considered to be strategic resources because an organization's competitors can readily acquire them. Instead, a resource is strategic to the extent that it is valuable, rare, difficult to imitate, and organized to capture value. The tangibility of a firm's resources is an important consideration within resource-based theory.



Resources and Capabilities:

Resources and capabilities are the basic building blocks that organizations use to create strategies. These two building blocks are tightly linked—capabilities from using

resources over time.

While resources refer to what an organization owns, capabilities refer to what the organization can do. More specifically, capabilities refer to the firm's ability to bundle, manage, or otherwise exploit resources in a manner that provides added value and, hopefully, advantage over competitors.

Resources can be divided into two main types: tangible and intangible.

- **Tangible resources** are resources that can be readily seen, touched, and quantified. Physical assets such as a firm's property, plant, and equipment, as well as cash, are considered to be tangible resources.
- **Intangible resources** are quite difficult to see, to touch, or to quantify. Intangible resources include, for example, the knowledge and skills of employees, a firm's reputation, brand name, exclusive rights to intellectual property, leadership traits of executives, and a firm's culture.
- In comparing the two types of resources, intangible resources are more likely to meet the criteria for strategic resources (i.e., valuable, rare, difficult-to-imitate, and organized to capture value) than are tangible resources.

Strategic Importance of Resources Internal Analysis

1) Available Resources: are those resources that are basic to the capability of any organization .
2) Human Resources: People are considered as 'the most valuable asset' of an organization. Knowledge and skill of people together prove to be a great asset.
3) Financial Resources of an organization lie in capital, cash, debtors and creditors and providers of money.
4) Intellectual capital: Intangible resources include the knowledge that has been captured in patents, brands, business systems and relationships with associates. In knowledge economy intellectual capital is considered as a major asset of many organizations.

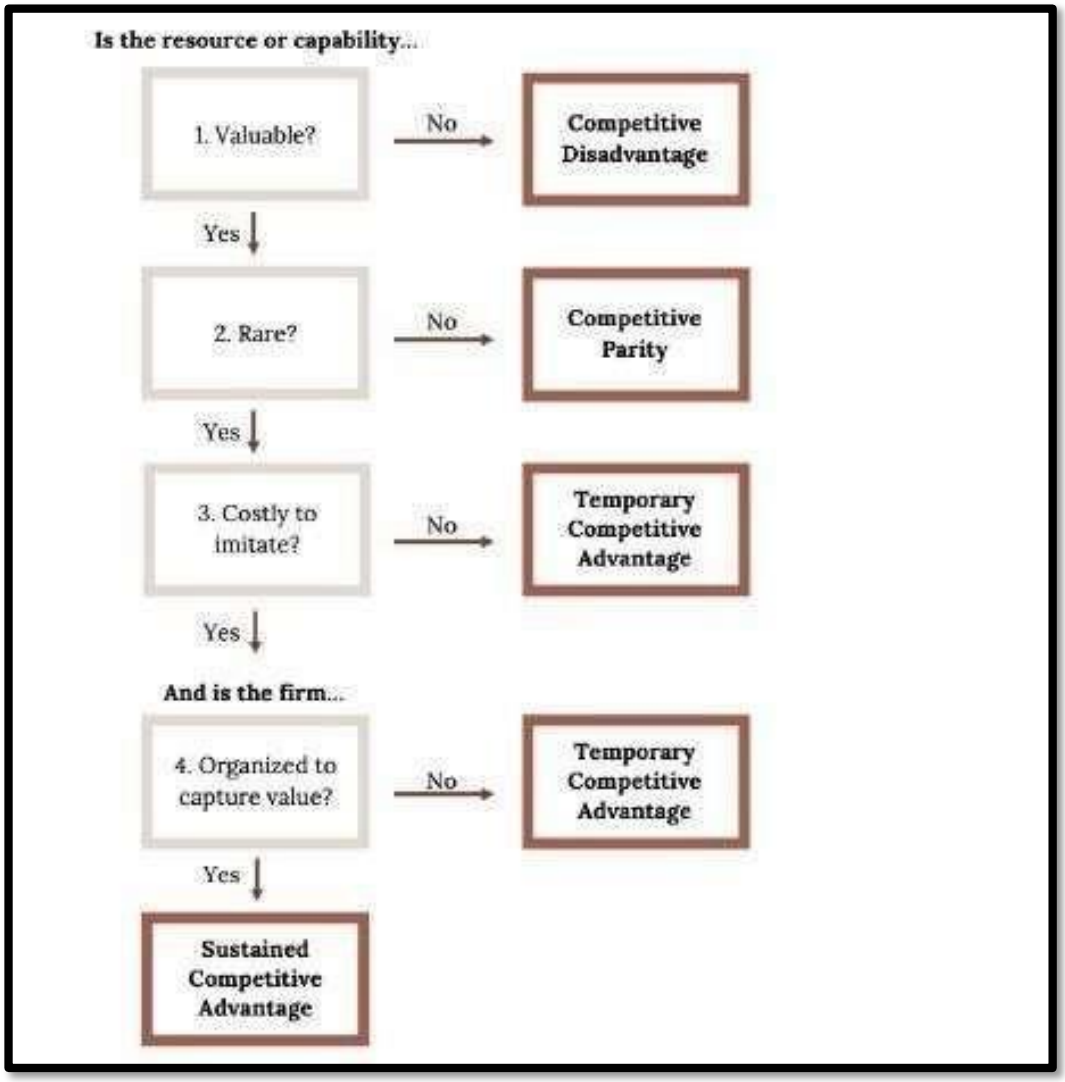
The relationship between the resources, competencies and the competitive advantage is depicted below:

	Same as Competitors' or Easy to imitate	Better than Competitors' or Difficult to imitate
Resources	Threshold Resources	Unique Resources
Competencies	Threshold competencies	Core competencies

Figure: Resources, competencies and competitive advantage

Capabilities: Capabilities tend to arise over time as a firm takes actions that build onits strategic resources. Capabilities capture the potential value that resources offer.

Capabilities are needed to bundle, to manage, and otherwise to exploit resources in a manner that provides value added to customers and creates advantages over competitors.



THE VRIO FRAMEWORK

Dynamic capabilities: A firm also has a unique ability to create new capabilities. That is, the firm is skilled at continually updating its array of capabilities to keep pace with changes in its environment.

Ex: Coca-Cola has an uncanny knack for building new brands and products as the soft-drink market evolves. Coca-Cola ranks among the top twelve in Fortune's "World's Most Admired Companies" for 2020.

The VRIO tool can be used to determine if resources or capabilities are valuable, rare, difficult-to-imitate, and organized to capture value, and thereby understand what type of competitive advantage they offer to a firm.

1. **Core Competence** is the term coined by C K Prahalad and Gary Hamel, in their 1990 article entitled, "The Core Competence of the Corporation", to explain how some Japanese corporations, such as Sony and Canon, became world market leaders after acquiring several technological capabilities, which allowed these firms to create and lead new markets, since innovative product functionalities and customer interfaces were offered. **Core competencies are the resources and capabilities that comprise the strategic advantages of a business.**

Core competencies

- A bundle of skills and technologies that enable a company to provide superior value to customers.
- A core competence is a company's specialized capability to create unique customer value.
- This capability is embodied in the collective knowledge of its people and the organizational procedures that shape the way employees interact.
- Over time, investments made in facilities, people and knowledge that strengthen core competencies, create sustainable sources of competitive advantage.
- A **core competence** is not about a single skill or discrete technology. A firm may have between five and 15 core competencies.
- A core competence is also not a physical asset. For instance, a factory, a distribution channel, brand or patent cannot be referred to, as a core competence. The ability to manage these assets may, however, be a core

competence.

- Core competencies are not product specific. They can and should be leveragable to create new products/ services.

A core competence should:

- Provide significant and appreciable value to customers, relative to competitor offerings;
- Be difficult for competitors to imitate or procure in the market;
- Enable a company to move into new markets or to develop new technologies.

Indeed, a core competence is truly core when it forms the basis for entry into new product lines/ businesses. By understanding core competencies, a firm can identify which businesses to strengthen and which to divest. Identification of core competencies can also lead to greater clarity on potential entrants into the industry who may be using similar core competencies to make other products.

Examples:

1) Sony's core competence in miniaturization has enabled it to develop a range of popular consumer products.
2) Reliance Industries' core competence in project management has enabled it to complete many complicated projects that span across industries ahead of schedule.

Four dimensions of core competencies:

1. **Appropriability:** The degree to which the profits earned by a competence can be appropriated by someone other than the firm in which the profits were earned. The lower the appropriability of the asset, the more sustainable the profits.
2. **Durability:** How durable is the competence as a source of profit? Shortening product and technology life cycles make most competencies less durable than they were, a decade earlier.
3. **Transferability:** The easier it is to transfer the core competencies and resources, the lower the sustainability of its competitive advantage.

4. **Replicability:** If it is possible, by appropriate investment or by purchasing a similar asset for a competitor, to construct a nearly identical set of capabilities, the competitive advantage is not sustainable.

   For sustainable competitive advantage, managers should invest time, effort, and resources in developing their critical competence. The first step towards developing critical competence is to understand that such a competence exists and realize that it makes a difference to the competitive advantage of the firm.

Limitations of core competencies:

Core competence facilitate understanding the successes / failures of an organisation. But also have few limitations.

- Core competencies may become core rigidities.
- A structural change in an industry can substantially reduce the value of a core competence.
- Core competence is too internally focused but should focus more on curstomers.
- New competencies must be developed to sustain a position in the industry.

That is why, it is important to assess the value of a core competence by the benefits it generates for customers rather than the technicalities underlying the core competence.

2. Sustainable Competitive advantage:

Competitive advantage refers **to factors that allow a company to produce goods or services better or more cheaply than its rivals**.

In today's dynamic and fast-paced environments, the only way that a company can maintain a competitive advantage over time is to continually improve its efficiency, quality, innovation, and customer responsiveness.

- Competitive advantage is the exceptional edge that allows an organization or business company to better deal with the marketplace and environmental forces than its competitors.

- To develop a competitive advantage, a company should develop distinctive competencies and then use them to compete creatively in its markets.
- A company has a **competitive advantage** when its profit rate is higher than the average for its industry, and it has a **sustained competitive advantage** when it is able to maintain this high profit rate over a number of years.
- Generic building blocks of competitive advantage – efficiency, quality, innovation, and customer as depicted in the following diagram.

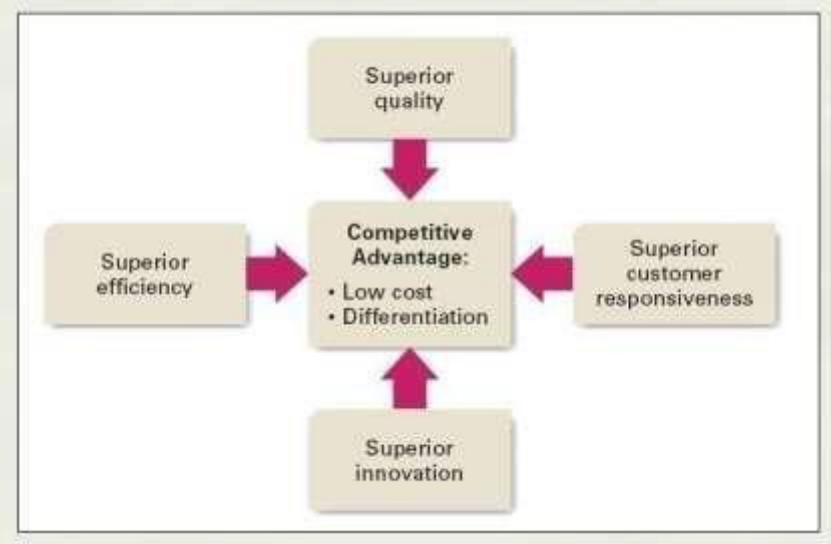
Sources of Sustainable Competitive Advantage

The sustainable competitive advantage sources for any company include Brand Loyalty, Innovation, Proprietary Information Scale, Intellectual Property, Innovation, Network- effect.

- **Brand Loyalty**: The strength of the brand drives brand loyalty. Consumers tendto purchase one brand product continuously.Ex: Google, Samsung, Amazon.
- **Innovation** : Innovation is the essence to propel. It is the way you use technology to solve the problems of the customer and create value. Ex: Apple, Microsoft
- **Proprietary Information**: Any kind of knowledge that the firm possesses which will help in generating value. Ex: Amazon possesses the purchase information of buyers, which helps them target customers and provide customized solutions.
- **Scale:** More scale over competitors gives you the advantage to sell at a lower cost and achieve economies of scale. Ex: Cost differentiation (Walmart)
- **Intellectual Property:** The possession of rights over specific formulas, processes, or patents. Ex: Intellectual property rights of Toyota Lean manufacturing Process
- **Network Effect:** When the value of the product increases with increases in thenumber of consumers.Ex: Facebook

A firm can achieve either cost leadership or differentiation leadership or derive the maximum competitive advantage using generic strategies based on **Porter's generic**

strategies.



Low cost and differentiation are two basic strategies for creating value and attaining a competitive advantage in an industry. Competitive advantage (and higher profits) goes to those companies that can create superior value–and the way to create superior value is to drive down the cost structure of the business and/or differentiate the product in some way so that consumers value it more and are prepared to pay a premium price.



Cost Leadership

Cost leadership means that companies provide reasonable value at a lower price. Companies acquire cost advantages by the following strategies.



- Firms do that by continuously improving operational efficiency.
- They might pay their workers less.
- Some firms compensate for lower wages by offering intangible perks such as stock options, benefits, or promotional opportunities.
- Others take advantage of unskilled labor surpluses.

As these businesses grow, they can benefit from economies of scale and buy in bulk. Walmart and Costco are two examples of cost leadership gained by sometimes paying their workers less than the cost of living. Higher minimum-wage laws threaten this advantage.

Differentiation

Differentiation means companies deliver better benefits than anyone else. A firm can achieve differentiation by

- providing a unique or high-quality product.

- Offering quicker delivery
- Efficient distribution channel so that the product reaches customers better.
- charge a premium price, which means it usually has a higher profit margin.
- innovation, quality, or customer service.

Innovation is meeting the needs in a new way. An excellent example of this is Apple. The iPhone was innovative because it provided a simple handheld device with the power of a computer.

Quality means that the firm provides the best product or service. Tiffany's can charge more because patrons see it as far superior to other jewelry stores.

Customer service means going out of the way to delight shoppers, like in the case of Nordstrom's, which was the first to allow returns with no questions asked.

Focus

- Focus means the company's leaders understand and service their target market better than anyone else.
- The key to a successful focus strategy is to choose a very specific target market. Often it's a tiny niche that larger companies don't serve.

For example, community banks use a focus strategy to gain sustainable competitive advantage. They target local small businesses or high-net-worth individuals. Their target audience enjoys the personal touch that big banks might not be able to give, and customers are willing to pay a little more in fees for that service.

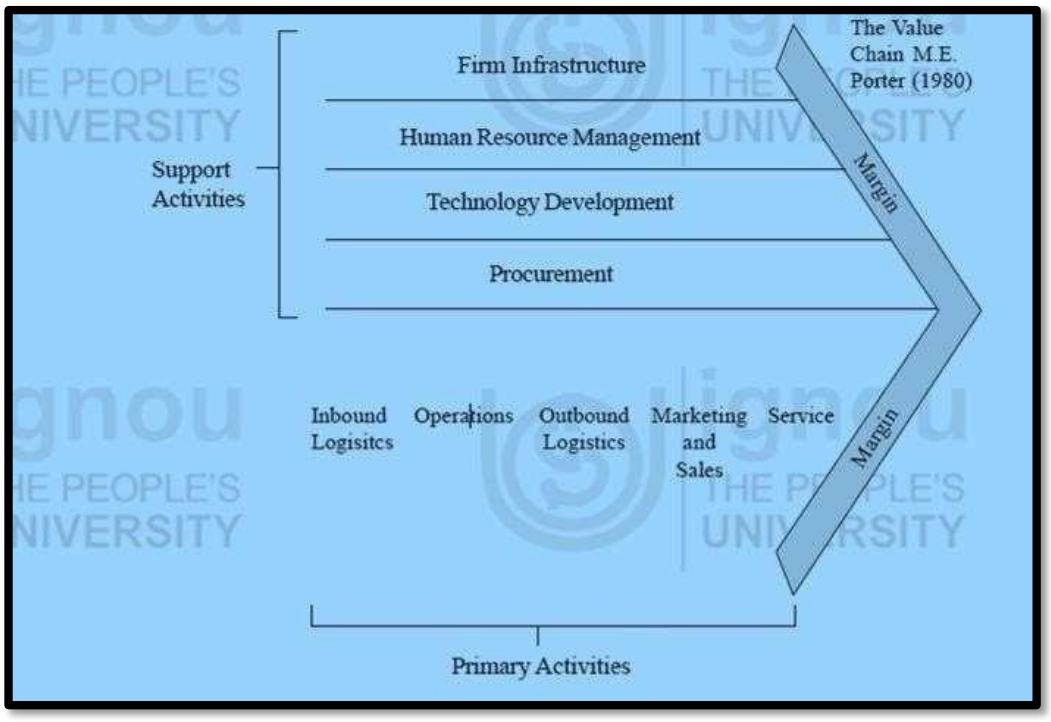
2.4 value chain analysis

Value chain analysis framework is used to guide analysis of any firm's strengths and weaknesses. In this framework, any business is seen as a number of linked activities, each producing value for the customer.

By creating additional value, the firm may charge more or is able to deliver same value at a lower cost, either of this leading to a higher profit margin. This ultimately adds to the organization's financial performance.

A typical value chain within anorganisation is depicted in the following diagram, enables the organisation to analyse the organization's contributions of individual activities in a business and how they add up to the overall level of customer value, the firm produces.

It is divided into two parts i.e. primary activities and support activities. The primary activities constitute of the following:



Primary activities are:

a) **Inbound Logistics** are activities concerned with receiving, storing and distributing the inputs to the product or service. They include materials handling, stock control, transport etc.

b) **Operations Transform** these various inputs into the final product or service – machining, packaging, assembly testing etc.

c) **Outbound Logistics** collect, store and distribute the product to customers. For tangible products this would be warehousing, materials handling, transportation etc. In the case of services they may be more concerned with arrangements for bringing customers to the service if it is a fixed location (e.g. entertainment show).

d) **Marketing and Sales** makes consumers/ users aware of the product or service so that they are able to purchase it. This includes sales administration, advertising,

selling and so on.

e) **Services** activities helps improving the effectiveness or efficiency of primary activities.

Each of the groups of primary activities is linked to **support activities** which are as follows:

a) Procurement: This is a process for acquiring the various resource inputs to the primary activities and this is present in many parts of the organization.

b) Technology Development: There are key technologies attached to different activities which may be directly linked with the product or with processes or with resource inputs.

c) Human Resource Management: This is an area involved with recruiting, managing, training, developing and rewarding people within the organization. This categorization of the activities as primary or support may be found true for organizations in general, however it is always better to have

one's own judgment in identifying activities for particular firms in consideration.

With the Value Chain Framework, organizations can use these indicators as a reference point in order to improve its overall ability to create value.

9. ASSIGNMENT

Read the case thoroughly and identify the respective competitive advantage. Fit it into Porter's competitive strategy matrix.

- Case Study: Business Model Innovation and Customer-Driven Innovation at Dell
- Case Study: Failure of Vodafone in Japan
- Case Study: Samsung's Innovation Strategy
- Case Study: Google's Competitive Advantage
- Case Study: "Dude, You're Getting a Dell" Ad Campaign by Dell
- Becoming a Successful Learning Organisation: Case Study of Apple
- Case Study of Zara : Application of Business Intelligence in Retail Industry
- Case Study: Dell's Competitive Advantage

10. PART A QUESTIONS AND ANSWERS

1. Explain the important factors for environmental scanning.

The four important factors of environmental scanning are events, trends, issues, and expectations. Events are occurrences which takes place in different environmental sectors of a business. Sometimes these events follow a pattern and tend to move in a specific direction. By analyzing these patterns, the organization can identify trends. Further, there are times when events and trends cause concerns or issues. Also, the interested groups expect the organization to take care of the issues. Hence, in environmental scanning, the organization must ensure that all these aspects are covered.

3. Define SWOT analysis.

   SWOT analysis is a technique for assessing the performance, competition, risk, and potential of a business, as well as part of a business such as a product line or division, an industry, or other entity.

4. What is competitive Advantage?

   Competitive advantage refers to factors that allow a company to produce goods or services better or more cheaply than its rivals.

5. What do you mean by core competence?

   Core competencies are the resources and capabilities that comprise the strategic advantages of a business.

6. Define resources,

   Resources refer to what an organization owns, capabilities refer to what the organization can do.

   Resources can be divided into two main types: tangible and intangible.

   - Tangible resources are resources that can be readily seen, touched, and quantified. Physical assets such as a firm's property, plant, and equipment, as well as cash, are considered to be tangible resources.
   - Intangible resources are quite difficult to see, to touch, or to quantify. Intangible resources include, for example, the knowledge and skills of employees, a firm's reputation, brand name, exclusive rights to intellectual

property, leadership traits of executives, and a firm's culture.

7. Define-capabilities and dynamic capabilities.

   Capabilities can be defined as the organization's ability to effectively make use of its resources.

   Dynamic Capabilities are the firm's ability to integrate, build, and reconfigure internal and external resources/competences to address and shape rapidly changing business environments

8. What are the four dimensions of core competence?
   - Appropriability
   - Durability
   - Transferability
   - Replicability

9. Enumerate the sources for competitive advantage.

   The sustainable competitive advantage sources for any company include Brand Loyalty, Innovation, Proprietary Information Scale, Intellectual Property, Innovation, Network- effect.

10. What are Michael porter's generic strategies for competitive advantage?
    1. Cost leadership
    2. Differentiation
    3. Cost focus
    4. Differentiation focus

11. PART B - QUESTION BANK

1. Explain and identify the type of resources which an organization may possess.
2. What do you understand by the term critical success factor and what is the core competency of an organization?
3. Briefly discuss the value chain framework.
4. How does qualitative analysis support the quantitative analysis of an organization?
5. Identify the difference of various comparison standards and explain how they can be important for internal analysis?
6. What are the defining characteristics that determine the internal competitive advantage of an organization?
7. How does Porter's value chain facilitate the workings of the resource-based view in achieving competitive advantage?
8. How and why have strategic management scholars showed so much interest in the development of the 'dynamic capabilities'?
9. Give practical examples of dynamic capabilities, and explain why each constitutes a dynamic capability.
10. How can a SWOT analysis be useful for both internal and external organizational environmental analysis?

12. ONLINE CERTIFICATION COURSES

1. https://www.coursera.org/learn/strategic-management
2. https://www.edx.org/learn/strategic-management
3. https://onlinecourses.nptel.ac.in/noc22_mg88/preview
4. https://onlinecourses.nptel.ac.in/noc22_mg89/preview

13. Real-time applications

Amazon – Supply Chain Capability
Business Process
Order Processing
Warehouse Management
Logistics
Delivery
Core Capability
AI-based inventory forecasting
Automated warehouses
Robotics
Same-day delivery
Strategic Advantage
Faster deliveries
Lower operational costs
High customer satisfaction
Example: AI predicts demand, positions inventory in nearby fulfillment centers, and optimizes delivery routes.

2. Toyota – Lean Manufacturing
Business Process
Production planning
Manufacturing
Quality inspection
Core Capability
Lean Manufacturing
Just-In-Time (JIT)
Kaizen (Continuous Improvement)
Strategic Outcome
Reduced waste
Lower production cost
High product quality
Real-Time Application
Sensors and AI monitor production lines, predict equipment failures, and improve manufacturing efficiency.

3. Netflix – Customer Recommendation
Business Process
Content recommendation
Customer engagement
Subscription management
Capability
Machine Learning
Big Data Analytics
Recommendation Systems
Strategic Advantage
Increased customer retention
Higher viewing time
Personalized user experience
Real-Time Application
Machine learning analyzes viewing history, watch duration, ratings, and browsing behavior to recommend personalized content.

4. Reliance Industries – Retail Supply Chain
Business Process
Inventory Management
Procurement
Distribution
Retail Operations
Capability
AI-driven demand forecasting
Integrated logistics
Vendor management
Omnichannel retailing
Strategic Advantage
Reduced stock-outs
Better inventory utilization
Improved customer experience

5. Starbucks – Customer Experience
Business Process
Customer ordering
Loyalty program
Mobile payments
Capability
Digital customer engagement
AI-based personalization
Mobile application
Strategic Advantage
Higher customer loyalty
Increased repeat purchases
Faster service

6. Tesla – Manufacturing Innovation
Business Process
Vehicle production
Battery manufacturing
Software updates
Capability
Automation
Artificial Intelligence
Predictive maintenance
Strategic Advantage
Faster innovation
Lower production costs
Continuous product improvements

14. Contents beyond the Syllabus

Top Computer Science Trends

Generative AI

Generative artificial intelligence (AI) is a type of artificial intelligence that can create new content, such as articles, images, and videos. Anyone who has used ChatGPT or Microsoft Copilot has toyed with generative AI. These AI models can summarize and classify information or answer questions because they have been trained to recognize patterns in data.

Quantum Computing

Quantum computing operates on subatomic particles rather than a stream of binary impulses, and its bits, called qubits, can exist in more than one state simultaneously. It is much more powerful, but far less well-developed, than traditional computing. Should quantum computing become widely accessible, it would challenge current communication and cryptography practices.

Bioinformatics

Bioinformatics combines biology with computer science and generally focuses on data collection and analysis. Biologists use bioinformatics to spot patterns in their data. For example, a scientist can use bioinformatics tools and techniques to help sequence organisms' genomes.

Remote Healthcare

Remote healthcare lets medical providers use technology to monitor the health of patients who cannot travel to providers' offices. Supporters of this field say remote healthcare improves patient outcomes while reducing costs.

15. ASSESSMENT SCHEDULE

- **Tentative schedule for the Assessment During 2026-2027 Odd Semester:**

S.NO	Name of the Assessment	Start Date	End Date	Portion
1	Unit Test 1			UNIT 1
2	Internal Assessment Test 1			UNIT 1 & 2
3	Unit Test 2			UNIT 3
4	Internal Assessment Test 2			UNIT 3 & 4
5	Model Examination			ALL 5 UNITS

16. Prescribed Text Books & Reference Books

TEXT BOOKS:
1. Robert M. Grant, Contemporary StrategicManagement,Blackwell, 7th Edition, **2012.**
1. D N Dwivedi, Managerial Economics, 8th Edition, Vikas Publishing House, 2018.
REFERENCES:
1. Richard Rumelt, Competitive Advantage, 2011.
1. Kazmi, Azhar, Business Policy and Strategic Management, Third Edition,Tata McGrawhill, New Delhi, 2008.

17. Mini Project suggestions:

1. AI-Based Core Competency Identification Using Machine Learning
2. AI-Powered SWOT Analysis for Business Strategy
3. Machine Learning-Based Customer Review Analysis for Strategic Planning
4. AI-Based Business Capability Assessment Dashboard
5. Predictive Analytics for Competitive Advantage
6. AI-Based Strategic Decision Support System
7. Generative AI for Business Process Improvement
8. Business Process Mining Using AI
9. AI-Based Competitive Intelligence System
10. AI-Assisted VRIO Analysis of Business Resources

18. AI Based Example

Organization	Machine Learning Application	Competitive Advantage
Amazon	Demand forecasting	Better inventory management
Netflix	Content recommendation	Increased customer retention
Reliance Retail	Sales prediction	Improved stock planning
Uber	Ride demand forecasting	Reduced customer waiting time
Starbucks	Personalized offers	Higher customer loyalty
Walmart	Inventory optimization	Lower logistics costs

Thank you

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